FARWELL IRRIGATION DISTRICT

STATEMENT OF NET POSITION

December 31, 2025

ASSETS	
Current assets:	
Cash and cash equivalents	$ 3,141,494
Certificates of deposit	4,327,010
Accounts receivable	818,102
Accrued interest receivable	66,549
Due from other governments	40,338
Inventory	89,867
Prepaid expenses	160,321
Total current assets	8,643,681
Noncurrent assets:	
Capital assets:	
Distribution system and equipment	5,142,639
Less accumulated depreciation	(2,496,489)
Net capital assets	2,646,150
Total assets	11,289,831
LIABILITIES	
Current liabilities:	
Accounts payable	19,487
Accrued payroll and taxes	60,015
Accrued interest payable	8,951
Claims incurred not paid	12,558
Advance collections - water tolls	13,752
Accrued vacation	57,872
Current portion of long-term debt	55,400
Total current liabilities	228,035
Noncurrent liabilities:	
Accrued sick leave	39,263
Noncurrent portion of long-term debt	119,018
Total noncurrent liabilities	158,281
Total liabilities	386,316
NET POSITION	
Net investment in capital assets	2,471,732
Unrestricted	8,431,783
Total net position	$ 10,903,515

See notes to financial statements.

FARWELL IRRIGATION DISTRICT

STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION

For the year ended December 31, 2025

Operating revenues:	
Water tolls	$ 1,510,880
Assessments	1,078,580
Finance charges	3,627
Other revenues	56,574
Total operating revenues	2,649,661
Operating expenses:	
Personnel costs	1,746,777
Repairs and maintenance	363,770
Office and shop supplies	166,475
Utilities	93,184
Insurance	82,896
Dues, travel, and training	19,721
Professional fees	18,260
Other expenses	3,760
Depreciation	279,748
Total operating expenses	2,774,591
Operating loss	(124,930)
Nonoperating revenues (expenses):	
Interest income	320,215
Grant revenue	689,298
Gain on disposal of assets	26,500
Capital contribution - Loup Basin Reclamation District	(55,598)
Interest expense	(8,345)
Total nonoperating revenues (expenses)	972,070
Change in net position	847,140
Net position, beginning of year	10,056,375
Net position, end of year	$ 10,903,515

See notes to financial statements.

FARWELL IRRIGATION DISTRICT

STATEMENT OF CASH FLOWS

For the year ended December 31, 2025

CASH FLOWS FROM OPERATING ACTIVITIES:		
Cash received from customers	$	2,565,532
Payments to suppliers		(781,661)
Payments to employees		(1,690,680)
Net cash provided by operating activities		93,191
CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES:		
Purchase of capital assets		(806,189)
Proceeds from sale of capital assets		26,500
Grant proceeds		689,298
Interest expense		(11,055)
Capital contribution - Loup Basin Reclamation District		(55,598)
Principal payments on capital debt		(52,830)
Net cash used by capital and related financing activities		(209,874)
CASH FLOWS FROM INVESTING ACTIVITIES:		
Increase in certificates of deposit		(413,537)
Interest income received		334,981
Net cash used by investing activities		(78,556)
Net decrease in cash and cash equivalents		(195,239)
Cash and cash equivalents - beginning of year		3,336,733
Cash and cash equivalents - end of year	$	3,141,494
Reconciliation of operating loss to net cash provided by operating activities:		
Operating loss	$	(124,930)
Adjustments to reconcile operating loss to net cash provided by operating activities:		
Depreciation		279,748
Change in assets and liabilities:		
Accounts receivable		(38,120)
Due from other governments		(18,965)
Inventory		(16,831)
Prepaid expenses		(9,786)
Accounts payable		4,661
Advance collections		(46,009)
Accrued payroll, taxes, and vacation		16,834
Accrued sick leave		39,263
Claims incurred not paid		7,326
Net cash provided by operating activities	$	93,191

See notes to financial statements.